

Fearnleys Dry Bulk Weekly

Jun 10, 2026



Capesize/Newcastlemax

Demand/supply fundamentals remains firmly positive, so the market will likely remain higher than the same period last year in the next month at least. Still, the near-term indicators remains in "toppish" territory so the market could correct a bit more before finding its footing.

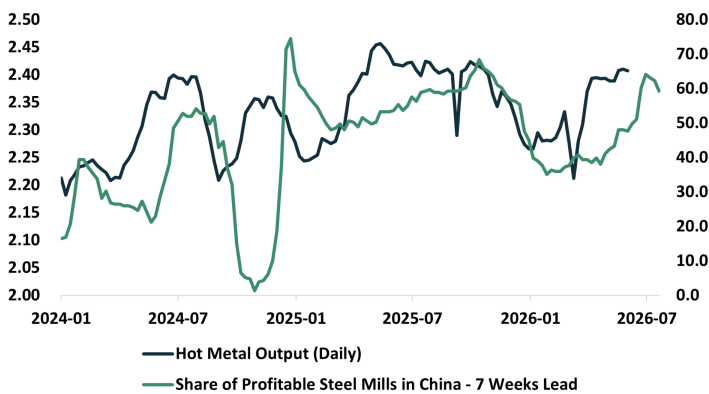
Top left chart: The share of profitable steel mills has fallen in the last couple of weeks, suggesting that blast furnace output will drop from current levels. The share of profitable steel mills usually leads output by 6-8 weeks.

Top right chart: Shipment volumes were 5.7% higher than last year through week 23. Volume growth keeps falling, but supply growth remains at just 1.5%. So unless there is a sudden sharp drop in demand growth, the market will likely keep staying higher than last year.

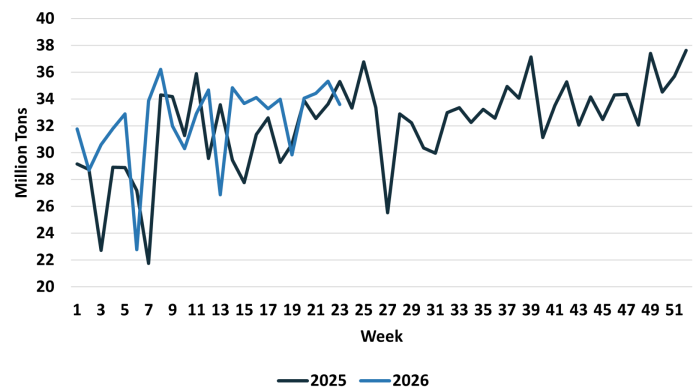
Bottom left chart: Notwithstanding the recent market drop, the SATI is still low, suggesting the market remains in toppish territory.

Bottom right chart: The laden/ballast ratio fell slightly in the last week. It remains above the long-term average but is far from an extreme. The VLOC laden/ballast ratio remains high.

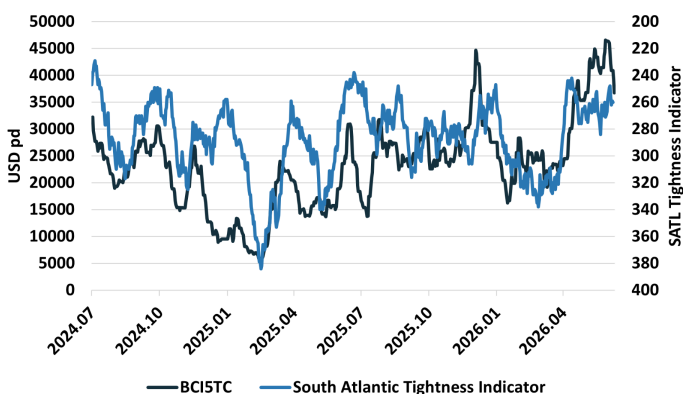
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



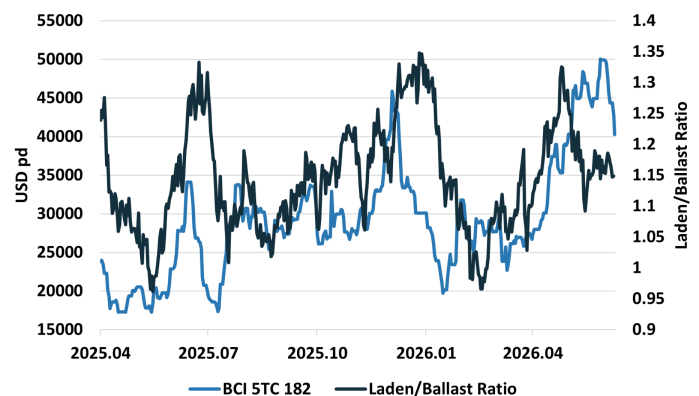
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

The below indicators still suggest bearishness in the near-term. Still, a major correction is hard to expect, as demand/supply fundamentals remain positive, and as the Ultramax and Handysize markets are firm.

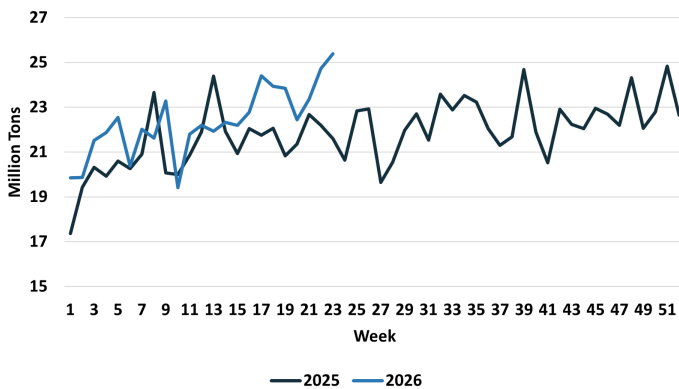
Top left chart: Shipment volumes were up 5.6% year on year through week 23, increasing further from the last weeks sub 5%. Supply growth is slightly over 4% year on year, up slightly from earlier this year.

Top right chart: We did not update the coal futures curve lead, but looking at today's prices, the curve has moved out of contango to a slight backwardation. This suggests the market might rebound in July.

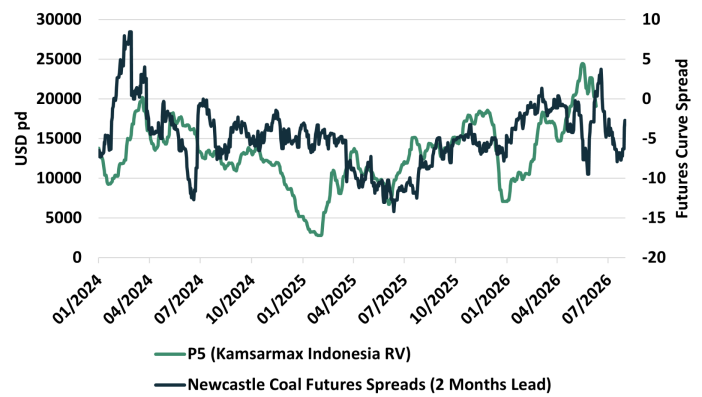
Bottom left chart: The Pacific tightness indicator still suggests the market will soften in the near-term.

Bottom right chart: The SATL tightness indicator still suggests the market will soften in the near-term.

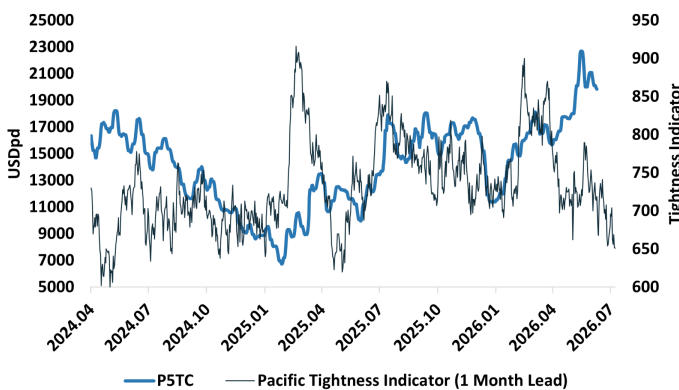
Weekly Shipment Volumes



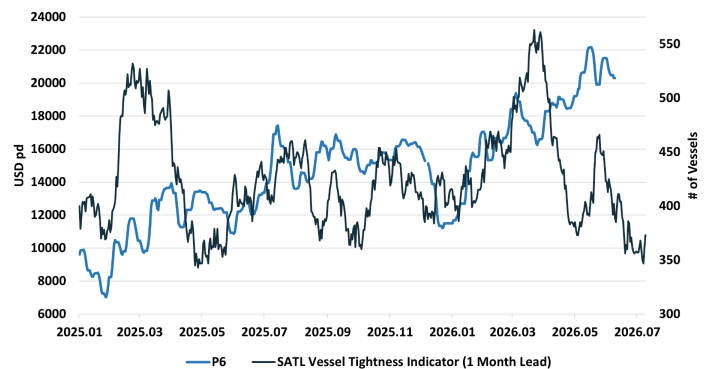
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

Revised volume growth data from last week shows growth was below 5% e.i. lower than the rate of supply growth. The market remains strong due to rerouting of MEG volumes along with slower sailing speeds. But volume growth needs to recover to avoid an eventual market correction.

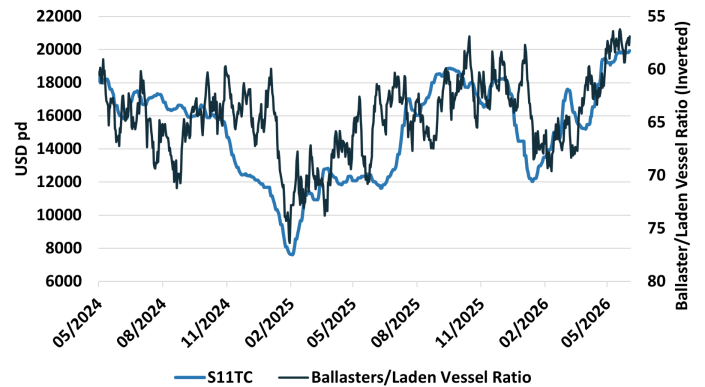
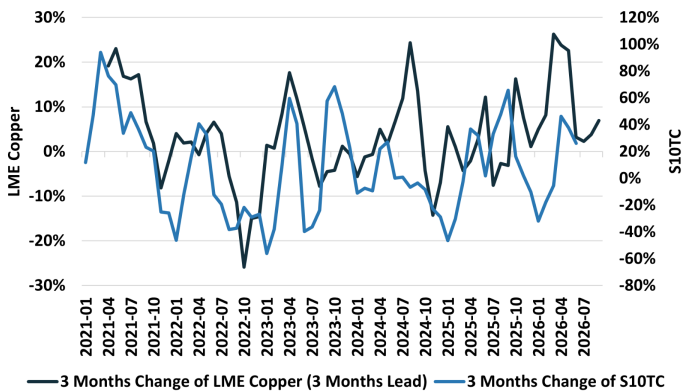
Top left chart: The three-month change in the price of copper suggests the market will remain firm for the next few months.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

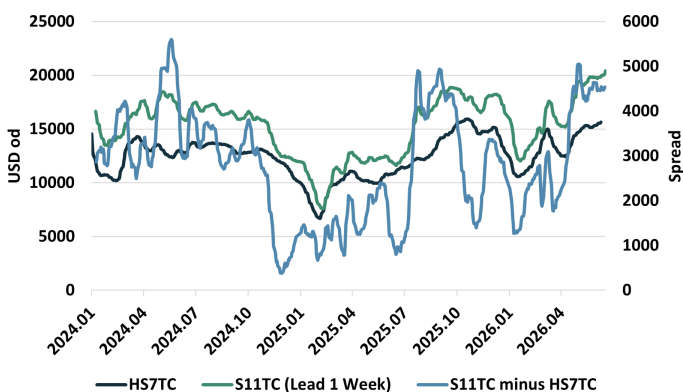
Bottom left chart: The Ultramax spread over the Handysize index is quite high, which usually means further upside is limited in the near-term.

Bottom right chart: Shipment volumes growth was revised to 4.7% through week 22. Volume growth is thus below supply growth. The market is being held up by ton-miles due to rerouting of MEG volumes, along with slow steaming.

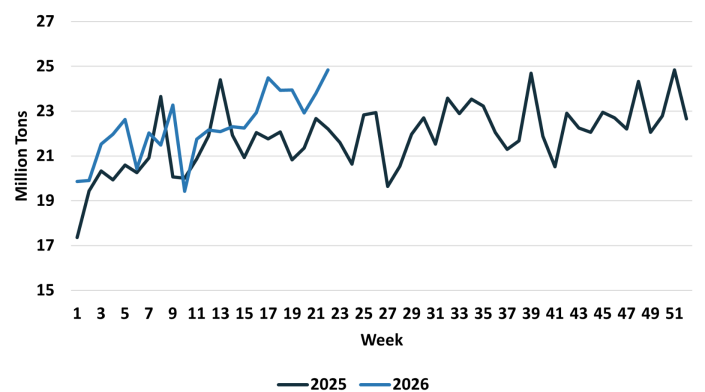
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes





Handysize

Like for Supras/Ultras, the continued increase in industrial metals prices suggests the market might keep climbing. However, the demand/supply gap narrowed further last week, with volume growth now at 3.1%, down from nearly 5% earlier this year. Supply growth is at 2.7%.

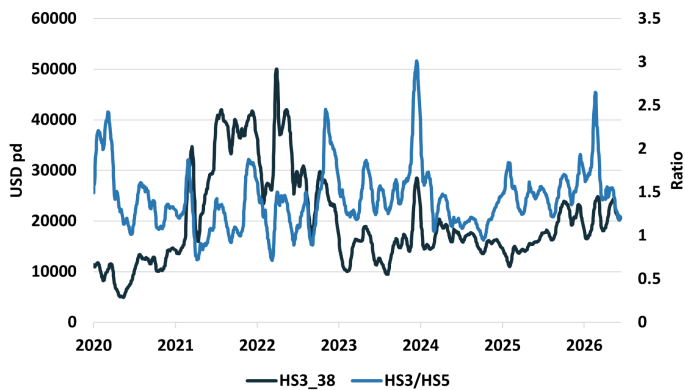
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 23, Handysize shipment volumes were 3.1% higher year on year, decreasing from over 4% earlier this year. Supply growth is under 3% so fundamentals remain positive, but the gap is getting very narrow.

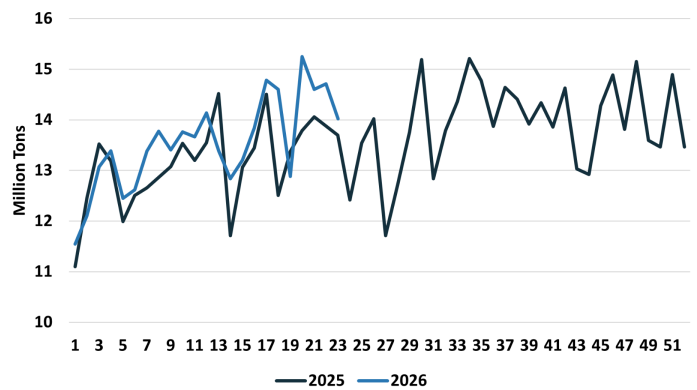
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

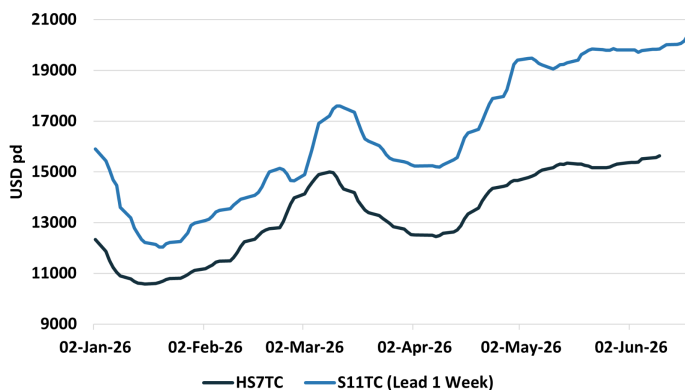
HS3 vs Ratio of HS3 and HS5



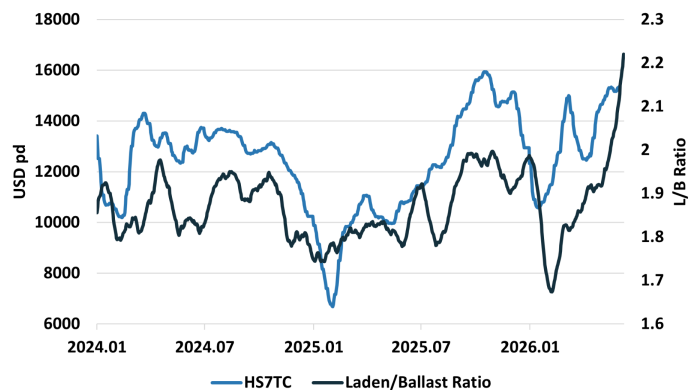
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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